

The lesson is there are no holy grails, and no indicators that are perfectly reliable.

Narratives and holding periods

Traders have very short holding periods, and are concerned with catalysts that drive prices day to day and even minute to minute. Investors hold asset classes, to benefit from long-term value creation and compounding.

Damage occurs when narratives of traders are used to justify the actions of investors, and vice versa. Understand your investment horizon, be it minutes or decades. Never use someone else's narrative to justify your investment behavior.

Oaktree Capital's Howard Marks is fond of saying, "Experience is what you get when you don't get what you want."²⁰⁷ If you did not get what you wanted from markets since those 2022 lows, then perhaps the silver lining is you gained experience.



Those were a few of the lessons learned from a short-lived bear market caused by an externality. What lessons do full-on market bubble crashes teach us? Read on to find out.

²⁰⁶ Bob Fernandez, "Yield-Curve Pioneer Says This Recession Warning Is Real," *The Wall Street Journal* (May 23, 2023).

²⁰⁷

Howard Marks, *The Most Important Thing: Uncommon Sense for the Thoughtful Investor* (Columbia Business School Publishing, 2011).